



Advancing Animal Care

Kristin Peck | Chief Executive Officer

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Forward-Looking Statements

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, product approvals or products under development, expected timing of product launches, the impact of the coronavirus (COVID-19) pandemic and any recovery therefrom on our business, suppliers, customers and employees, expectations regarding the performance of acquired companies and our ability to integrate new businesses, expectations regarding the financial impact of acquisitions, future use of cash and dividend payments, tax rates and tax regimes and any changes thereto, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. Such risks and uncertainties may be amplified by the COVID-19 pandemic and its potential impact on the global economy and our business. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

Non-GAAP Financial Information

We use non-GAAP financial measures, such as adjusted net income, adjusted EBIT margin, adjusted R&D investment, normalized organic operational growth, organic operational growth, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and revenue growth, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliations of GAAP financial measures are available in the appendix to this presentation.

Nurturing Our World and Humankind by Advancing Animal Care



The World's Leading Animal Health Company



We help **predict, prevent, detect,**
and **treat** animal disease and illness

We provide:

- Medicines
- Vaccines
- Diagnostics
- Technologies

to veterinarians and
livestock farmers for
animal care needs

\$7.725B

2021 estimated revenue*

~\$45B

total available market**

▲ ~14%

Estimated
operational revenue
growth in 2021*

37%

average annual total
shareholder return over
last 5 years
as of 12/31/21

*Based on the midpoint of the latest full-year guidance as provided in the Q3 2021 earnings release issued on 11/4/21

**Based on industry and Zoetis internal estimates

Positioned for Continued Above-Market¹ Growth

By Species		By Product Category		By Geography	
Companion Animal	#1	Other Pharma ²	#1	North America	#1
Cattle	#1	Anti-Infectives	#1	Latin America	#1
Fish ³	#1	Medicated Feed Additives (MFA)	#2	Asia	#1
Swine	#1	Vaccines (Biologicals)	#3	Eastern Europe	#2
Poultry	#5	Parasiticides	#3	Western Europe	#3

¹ Vetnosis Year-to-Date Q3 2021 Update. Rankings are based on revenues.

² Includes pain, sedation, internal medicine, dermatology etc.

³ Internal sales estimate based on distribution channels for Year-to-Date Q3 2021

Innovative, Diverse and Durable Portfolio

Broad portfolio with

~300

product lines
across **8 species**

13¹

Blockbusters representing
more than 1/3 of the
animal health industry

~1,000

new products and lifecycle
innovations introduced in the
last 5 years

44%²

total revenue driven by
Top 10 products

30³

year average **market life**
of portfolio

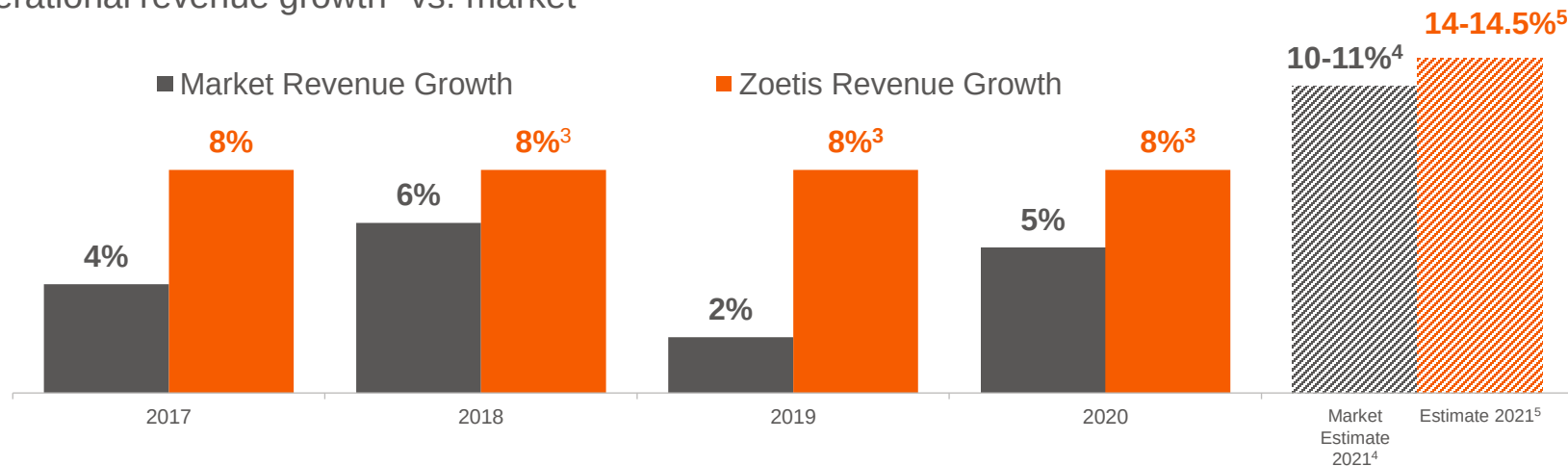
¹ A blockbuster is a product or product line that has \$100M or more in annual revenue. Blockbusters referenced on this slide are as of 2020.

² 44% is based on 2020 revenues. Top products each contribute at least 1% of total revenue.

³ Market life refers to the number of years a product has been commercially available.

Delivering Above-Market Operational Revenue Growth

Operational revenue growth¹ vs. market²



¹ Operational revenue growth (a non-GAAP financial measure) excludes the impact of foreign exchange

² Vetnosis "Review 2020" dated July 2021.

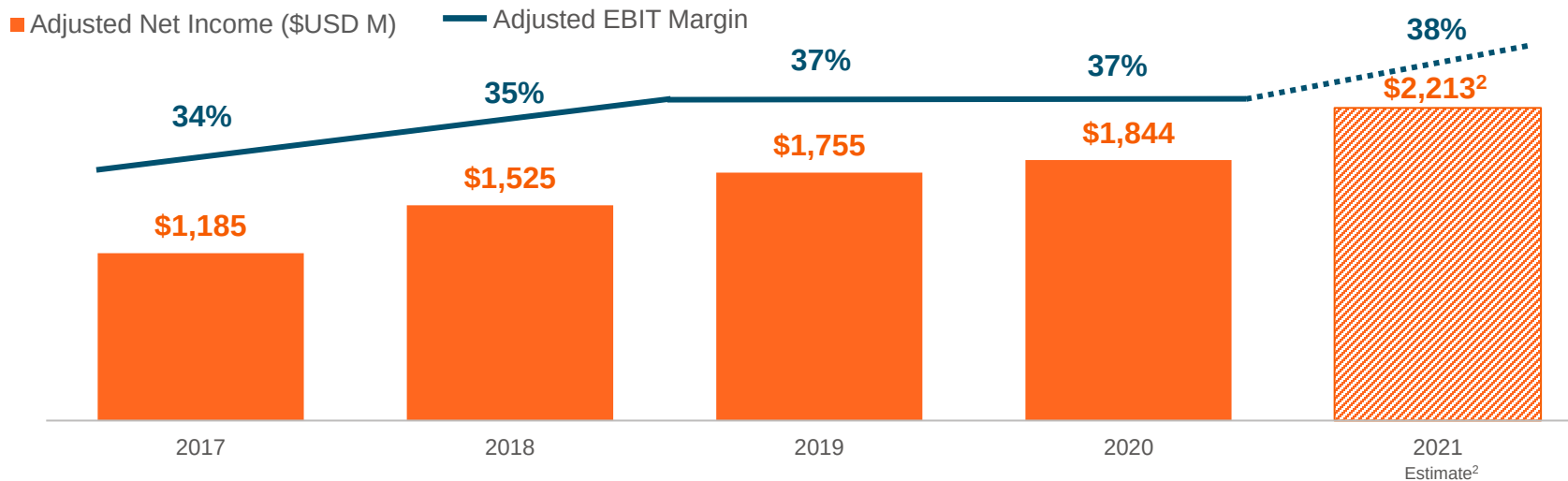
³ Organic operational growth (a non-GAAP financial measure) excludes the impact of the acquisition of Abaxis in 2018 and 2019 and other acquisitions in 2020, as well as foreign exchange; if included, operational revenue growth was 10%, 10% and 9% in 2018, 2019 and 2020, respectively

⁴ Based on Zoetis internal estimates

⁵ Represents 2021 guidance range for operational revenue growth as provided in the Q3 2021 earnings release issued on 11/4/21.

Margin Expansion and Adjusted Net Income Growth Faster than Revenue

Adjusted net income and adjusted EBIT margin¹



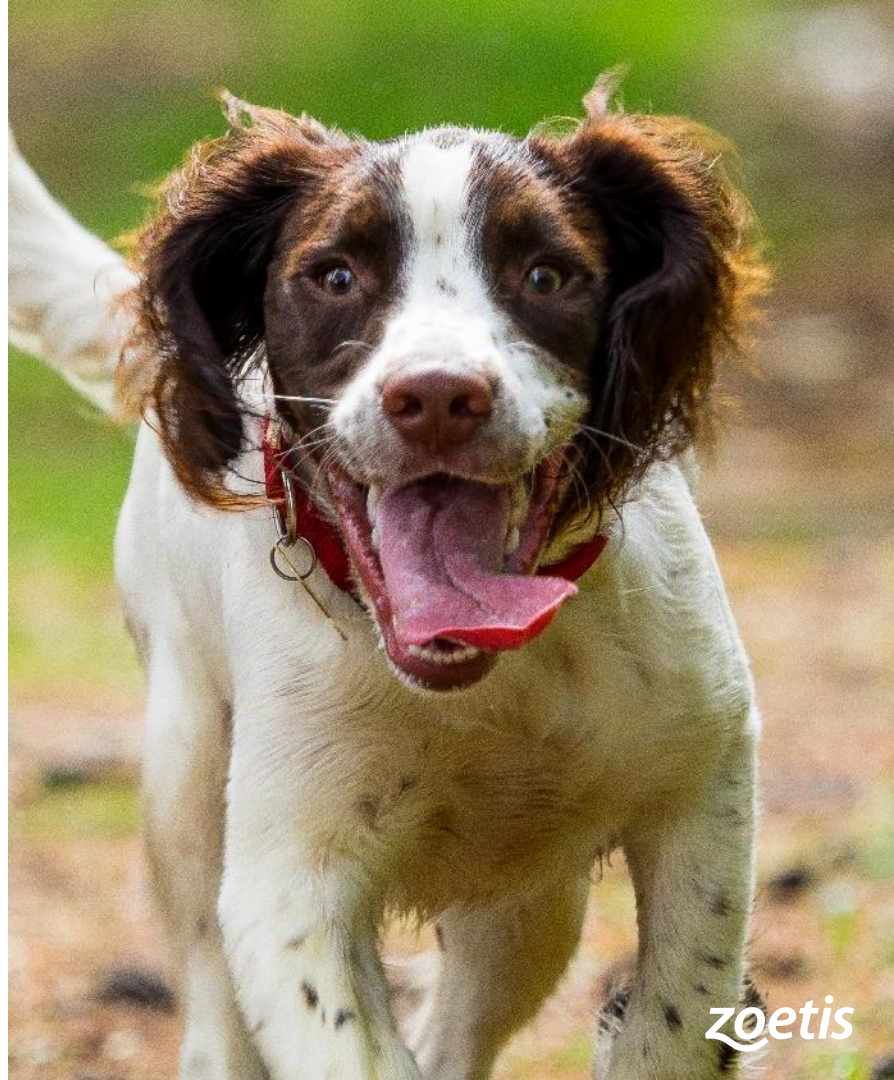
¹Adjusted net income (a non-GAAP financial measure) is defined as reported U.S. generally accepted accounting principle (GAAP) net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted Earnings Before Interest and Taxes (EBIT) margin, a non-GAAP financial measure, excludes interest expense net of capitalized interest, interest income and adjusted income taxes (a non-GAAP measure).

²Mid-point of 2021 guidance range for adjusted net income of \$2,200 to \$2,225 million as provided in the Q3 2021 earnings release issued on 11/4/21.

Key Companion Animal Trends

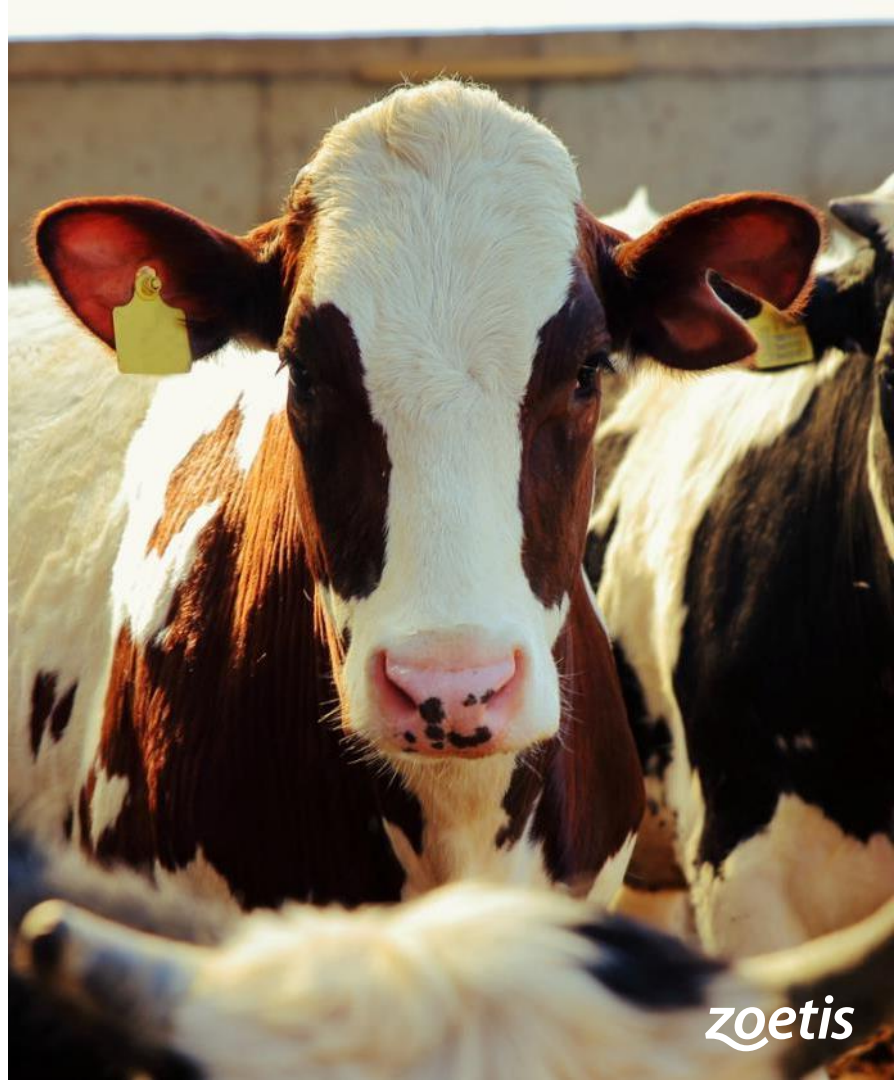
Rising pet care spend driven by

- 1** More pets
- 2** More time with pets
- 3** More willingness to spend on pet health
- 4** Innovations and increasing medicalization driving market growth



Key Livestock Trends

- 1** **Emerging markets** – including China – increasing protein demand and consumption
- 2** **Productivity and efficiency** needs increasing around the globe in challenging market conditions
- 3** **Increasing focus** on sustainable food production



Five Strategic Priorities



**Drive Innovative
Growth**



**Enhance
Customer
Experience**



**Lead in Digital
and Data
Analytics**



**Cultivate a
High-Performing
Organization**



**Champion
a Healthier, More
Sustainable
Future**

Multiple Growth Pathways for 2022



- Cementing leadership in **dermatology** from strong direct-to-consumer advertising and digital marketing
- Building our global market position in **parasiticides**
- Continuing launch and growth in existing markets for **mAbs** for OA pain and anticipate U.S. approvals
- Making significant investment in **Diagnostics** innovation, salesforce and reference labs
- Advancing care and increasing medicalization in **emerging markets**

Delivering On Our Long-Term Value Proposition to Shareholders



**Grow revenue
in line with
or faster than
the market**



**Grow adjusted
net income
faster than
revenue**



**Drive growth through
investments in
innovation, R&D and
business development**



**Return excess
capital to
shareholders**

Key Takeaways

- 1 Competing in resilient and essential **\$45 billion market** for Animal Health
- 2 Delivering track record of **strong and steady** financial performance
- 3 Building **market leadership and innovative science** across continuum of care
- 4 Investing across **diverse portfolio** to scale for future growth and execution
- 5 Focused on **major catalysts** for growth in petcare, emerging markets and diagnostics

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Reconciliation Of Reported Revenue To Non-GAAP Financial Measures

<i>in USD millions</i>	Revenue	Change From Prior Year	Foreign Exchange	Operational Growth ¹	Acquisitions ²	Organic Operational Growth ³
2017	\$5,307	9%	1%	8%		
2018	5,825	10%	—%	10%	2%	8%
2019	6,260	7%	(3)%	10%	2%	8%
2020	6,675	7%	(2)%	9%	1%	8%

¹ Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

² 2018 and 2019 only include Abaxis

³ Organic operational revenue growth (a non-GAAP financial measure) excludes the impact of acquisitions, as well as foreign exchange

Reconciliation Of GAAP Reported To Non-GAAP Adjusted Information

<i>Dollars in millions</i>	2017	2018	2019	2020
Net Income attributable to Zoetis ¹	\$864	\$1,428	\$1,500	\$1,638
Purchase Accounting Adjustments ²	51	119	156	142
Acquisition-Related Costs ³	7	50	36	19
Certain Significant Items ⁴	263	(72)	63	45
Adjusted Net Income attributable to Zoetis ⁵	\$1,185	\$1,525	\$1,755	\$1,844

¹ As reported under U.S. generally accepted accounting principles (GAAP).

² Purchase accounting adjustments represent expenses incurred associated with the amortization of fair value adjustments to inventory, intangible assets and property, plant and equipment.

³ Acquisition-related costs represent costs associated with acquiring and integrating newly-acquired businesses, such as transaction costs and integration costs.

⁴ Certain significant items comprise substantive, unusual items that, either as a result of their nature or size, would not be expected to occur as part of our normal business on a regular basis, such as restructuring charges and implementation costs associated with our cost-reduction/productivity initiatives that are not associated with an acquisition, certain asset impairment charges, certain legal and commercial settlements and the impact of divestiture-related gains and losses.

⁵ Adjusted Net Income (a non-GAAP financial measure) is defined as reported U.S. GAAP net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items. The adjusted net income measure is not, and should be not be, viewed as a substitute for U.S. GAAP net income. Non-GAAP adjusted net income is presented solely to permit investors to more fully understand how management assesses performance.

Reconciliation Of Adjusted Net Income To Adjusted EBIT

<i>Dollars in millions</i>	2017	2018	2019	2020
Adjusted Net Income attributable to Zoetis	\$1,185	\$1,525	\$1,755	\$1,844
Net (loss)/income attributable to noncontrolling interests	(2)	(4)	-	(2)
Adjusted Net Income Before Allocation to Noncontrolling Interests ¹	\$1,183	\$1,521	\$1,755	\$1,842
Interest Expense ²	175	206	223	231
Interest Income ²	(13)	(31)	(37)	(12)
Income Taxes ²	465	351	390	413
Adjusted EBIT ³	\$1,810	\$2,047	\$2,331	\$2,474
<i>% of revenue⁴</i>	<i>34.1%</i>	<i>35.1%</i>	<i>37.2%</i>	<i>37.1%</i>

¹ Adjusted Net Income Before Allocation to Noncontrolling Interests (a non-GAAP financial measure) is defined as reported U.S. GAAP net income before allocation to noncontrolling interests excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

² As included in adjusted net income.

³ Adjusted Earnings Before Interest and Taxes (EBIT), a non-GAAP financial measure, excludes interest expense net of capitalized interest, interest income and adjusted income taxes (a non-GAAP measure)

⁴ Adjusted EBIT margin (a non-GAAP financial measure).